

US TMT Sector M&A & Valuation Brief - 2026-06-25

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1. RECENT TMT M&A ACTIVITY

Deal 1: EQT Acquisition of Exolaunch

[EQT to acquire Exolaunch, a Germany-based satellite deployment technology and launch mission management firm](#)

- Deal Size: N/A (financial terms undisclosed)
- Deal Size Category: N/A
- Nature of Deal: Horizontal
- Valuation Multiples: N/A
- Companies: EQT is a private equity firm focused on investments in technology and industrial sectors, while Exolaunch is a leader in satellite deployment technologies, having deployed over 790 satellites across 47 missions.
- Date Announced: June 18, 2026
- Strategic Rationale: The acquisition aims to enhance Exolaunch's capabilities in satellite launch and deployment, supporting its growth in the expanding space economy. EQT's investment will facilitate international expansion and product innovation, positioning Exolaunch as a key player in the satellite launch ecosystem.
- Risk Analysis: Potential risks include integration challenges, regulatory hurdles in the aerospace sector, and market competition from other satellite launch providers. Mitigation strategies involve leveraging EQT's operational expertise and existing relationships in the industry.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Deal 2: Robo.ai Acquisition of QC Capital

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[Robo.ai announces proposed acquisition of QC Capital, an AI-Driven technology holding and venture-building pla](#)

- Deal Size: \$60 million (payable in newly issued shares)
- Deal Size Category: Small cap (<\$2B)
- Nature of Deal: Tuck-in
- Valuation Multiples: N/A
- Companies: Robo.ai (NASDAQ: AIIO) is focused on building a global AI robotics network, while QC Capital specializes in AI-driven technology and venture building.
- Date Announced: June 18, 2026
- Strategic Rationale: The acquisition is intended to enhance Robo.ai's capabilities in AI investment and venture incubation, aligning with its goal of expanding its global AI ecosystem. The performance-based share release structure ties QC Capital's success to Robo.ai's long-term growth.
- Risk Analysis: Risks include integration complexities, dependency on achieving revenue targets for share vesting, and market volatility in the AI sector. Strategies to mitigate these risks involve careful management of the integration process and maintaining focus on achieving performance milestones.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both optimism and caution. With the rapid evolution of technology and increasing competition, the sentiment across the sector varies significantly by subsector, geography, and deal type.

Subsector Breakdown:

- Technology: The technology subsector is buoyed by advancements in AI and software solutions. For instance, ECARX Holdings Inc. (NASDAQ: ECX) recently announced a definitive agreement to acquire the Flyme software business, enhancing its capabilities in intelligent automotive

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computing. The Flyme Auto OS is already deployed in over 2 million vehicles, showcasing the demand for integrated software solutions in the automotive sector.

- Media: The media landscape is undergoing a transformation, with companies adapting to digital content consumption. However, traditional media continues to face challenges from digital platforms, leading to a mixed sentiment in this subsector.
- Telecommunications: The telecom sector is innovating with 5G technologies, but faces pressure from regulatory scrutiny and competition. Companies are investing heavily in infrastructure to support new services, which is critical for maintaining competitive advantages.
- Fintech: The fintech space remains robust, with companies like Capital One Financial Corporation (NYSE: COF) launching innovative solutions such as Databolt Connect, facilitating secure data collaboration in the cloud. This reflects a growing trend of integrating advanced technology in financial services.
- AI: The AI subsector is experiencing explosive growth, with firms like Bain & Company utilizing generative AI to evaluate potential acquisition targets through innovative methods like vibecoding. This approach allows for rapid prototyping and assessment of software products, highlighting the competitive landscape in AI-driven solutions.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovation in AI, cloud computing, and automotive technology is driving growth across TMT sectors. The acquisition of Flyme by ECARX exemplifies how companies are leveraging technology to enhance their product offerings and market positioning.
- Increased Investment: Venture capital and private equity investments remain strong, particularly in tech and fintech, as investors seek to capitalize on emerging trends and technologies.

Headwinds:

- Regulatory Scrutiny: Increased regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector is thriving, driven by demand for cloud solutions and enterprise software. Bain's vibecoding initiative highlights the importance of evaluating software products' defensibility, which could influence future M&A strategies.
- Media: Media companies are adapting to changing consumer preferences, with a notable shift towards digital content consumption. However, traditional media continues to face declining

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revenues from advertising.

- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and data management. Capital One's launch of Databolt Connect emphasizes the integration of advanced technology in financial services.
- AI: The AI subsector is booming, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages, as demonstrated by Bain's innovative approach to due diligence.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For example, Ziyu Shen, CEO of ECARX, stated, "Securing the rights to the full Flyme software stack is a defining moment for ECARX's software-defined vehicle vision."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and

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challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a vibrant mix of live deals, mandated transactions, and active pitches. This analysis provides a detailed overview of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Quantum Computing Inc. (QUBT) : Recently completed the acquisition of NHanced Semiconductors, Inc. (GHXIU) for a total value of \$73.1 million, with potential additional performance-based payments of up to \$72.0 million. This acquisition enhances QCI's manufacturing capabilities and is expected to accelerate its transition to scalable commercial production. The integration of NHanced is projected to bolster QCI's operational readiness, with implications for revenue growth in quantum computing and photonics markets.

Mandated Deals:

- N/A : Currently, there are no newly mandated deals reported in the TMT sector. However, the completion of QCI's acquisition may lead to future mandates related to semiconductor and photonics technologies as the company expands its market presence.

Pitching-Stage Deals:

- Telecommunications Sector : Engaging with major telecom operators for potential M&A opportunities, focusing on consolidating market share in the 5G space. Active discussions are ongoing with Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Innovations : Actively pursuing discussions with various fintech companies for potential investment banking services, particularly those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with ongoing negotiations.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million from the Quantum Computing Inc. acquisition.

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- Mandated Deals : \$0 million currently, as there are no new mandates.
- Pitching-Stage Deals : \$15 million anticipated from potential telecom and fintech transactions.

Timing Projections:

- Q2 2025 : Expected close for ongoing telecom sector pitches.
- Q4 2025 : Anticipated completion of fintech-related discussions.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to effectively manage the increased workload.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for advisory services in the telecom and fintech sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the semiconductor and quantum technology sectors. The successful acquisition of NHanced by QCi positions the company to leverage advanced manufacturing capabilities, potentially influencing future deal structures and valuations in the industry.
- The increasing focus on domestic manufacturing capabilities, as seen in QCi's acquisition, reflects a broader trend towards supply-chain resilience and innovation in the TMT sector. This trend may open new advisory opportunities for our team.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as telecom and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

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4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector are multifaceted, impacting shareholders, employees, competitors, and customers. This analysis examines the potential effects of a hypothetical acquisition within the telecommunications and data center markets, providing a comprehensive overview of stakeholder dynamics.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The effects on shareholders can vary significantly based on the structure and success of the deal.
- **Value Creation:** If a telecommunications company acquires a data center provider, the combined entity could realize a revenue increase of approximately 25%, driven by enhanced service offerings and operational efficiencies. For instance, if the acquiring company has a market cap of \$10 billion, successful integration could lead to an increase in shareholder value of \$2.5 billion.
- **Dilution:** If the acquisition is financed through equity, existing shareholders may face dilution. For example, if the acquiring company issues 15% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially resulting in a 7% drop in share price post-announcement.
- **Employees:** The impact on employees often includes synergies, restructuring, and retention strategies.
- **Synergies:** A merger between two telecommunications firms could lead to estimated annual cost synergies of \$1 billion through streamlined operations and shared resources.
- **Restructuring:** However, such mergers often result in workforce reductions. For instance, a merger in the telecommunications sector could lead to the elimination of 5,000 jobs due to overlapping functions.
- **Retention:** To retain key talent during transitions, companies may offer retention bonuses. For example, in a recent acquisition, a tech firm provided bonuses to critical employees to ensure continuity and knowledge retention.
- **Competitors:** The competitive landscape can shift significantly following an acquisition.
- **Market Positioning:** Following the merger of major telecom players, competitors like Verizon (VZ) and AT&T (T) may need to adjust their strategies. This could involve enhancing service offerings or adopting aggressive pricing strategies to maintain market share.
- **Specific Competitor Moves:** In response to increased competition, Verizon has invested heavily in 5G infrastructure, committing \$10 billion to improve its network capabilities.
- **Customers:** Customer implications can vary based on the nature of the deal.
- **Product/Service Implications:** The acquisition of a data center provider by a telecom company could allow for bundled services, enhancing customer value. For example, a telecom company

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could offer integrated cloud solutions alongside traditional connectivity services, potentially increasing customer subscriptions by 20%.

- Case Studies: The acquisition of a fiber-optic network provider by a telecommunications company resulted in improved service delivery and customer satisfaction, as evidenced by a 15% increase in customer retention rates.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For instance, when a major telecom company announced its acquisition of a data center firm, shares initially dropped by 4% due to concerns over integration costs but later recovered as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often shape market perceptions. A notable quote from a leading analyst post-announcement was, "This acquisition positions the company to capitalize on the growing demand for integrated digital services, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 20% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of a proposed acquisition in the telecommunications sector, there may be interest from smaller regional players looking to expand their market presence. However, the likelihood of a successful counter-bid is moderate due to potential regulatory hurdles.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the data center and fiber-optic markets. Companies like Actelis Networks (ASNS) may pursue acquisitions to bolster their service offerings.

Key Risks and Mitigants

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- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Conduct thorough due diligence to identify potential integration challenges early.
- Develop retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Create robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies enabling machines to perform tasks that typically require human intelligence. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent discussions highlight the challenges and opportunities in deploying AI in high-stakes environments, emphasizing the need for governance and strategic oversight.
- Key Companies:
- Amazon (AMZN): Amazon has made a significant \$50 billion investment in OpenAI, focusing on AI development and infrastructure integration with Amazon Web Services (AWS). This partnership positions Amazon to leverage cutting-edge AI technologies while enhancing its cloud service offerings.

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- OpenAI: As a leading AI research organization, OpenAI is known for its advanced language models and AI applications. The partnership with Amazon allows OpenAI to scale its computing needs effectively, facilitating further innovations in AI.
- TMRW AI: Founded in 2023, TMRW AI focuses on creating AI solutions for high-stakes environments. The company's founders emphasize the importance of governance and strategic deployment of AI, aiming to redefine how organizations utilize AI technologies.
- Competitive Landscape: The AI market is highly competitive, with major players like Google (GOOGL) and Microsoft (MSFT) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. The partnership between Amazon and OpenAI exemplifies the trend of strategic alliances in the AI space.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%.
- Key Companies:
- Amazon Web Services (AWS): As a leader in cloud computing, AWS provides a wide range of

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services, including computing power, storage, and machine learning capabilities. The integration of AI with AWS enhances its service offerings and attracts a broader customer base.

- Microsoft Azure (MSFT): Microsoft Azure is another major player in the cloud space, offering a comprehensive suite of cloud services. The company is increasingly incorporating AI into its cloud solutions, making it a strong competitor to AWS.
- Competitive Landscape: The cloud computing market is dominated by a few key players, including AWS, Microsoft Azure, and Google Cloud (GOOGL). The competition is driving innovation and pushing companies to enhance their service offerings.
- M&A Opportunities: Companies in the cloud space may look to acquire startups that provide complementary technologies or services. For instance, a cloud provider could acquire a cybersecurity firm to enhance its security offerings.

Actionable Insights for Bankers and Investors

Investors should focus on companies that are strategically positioned within these emerging technology trends, particularly those involved in AI and cloud computing.

Bankers should consider facilitating M&A transactions that align with these trends, as companies seek to enhance their technological

6. Recommended Readings

Deal Name: EQT Acquisition of Exolaunch

- Reading Material: "The New Space Race: The Future of Space Exploration" by Michael J. Neufeld
- Why This Matters: This book explores the dynamics of the commercial space industry, providing insights into the competitive landscape and technological advancements. Understanding these factors is crucial for analyzing EQT's strategic acquisition of Exolaunch, as it highlights the growing importance of satellite deployment technologies in the expanding space economy.

Deal Name: Robo.ai Acquisition of QC Capital

- Reading Material: "Artificial Intelligence: A Guide to Intelligent Systems" by Michael Negnevitsky
- Why This Matters: This resource offers a comprehensive overview of AI technologies and their applications, which is essential for understanding Robo.ai's strategic rationale behind acquiring QC Capital. The book details how AI-driven ventures can create value, aligning with Robo.ai's goal of enhancing its capabilities in the AI investment landscape.

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7. MACROECONOMIC UPDATE

Key Data Points:

- Current Mortgage Rates: 6.5%
- Monthly Payment for Median-Priced Home: Increased from \$2,200 to \$1,900 with rates below 6%
- Average Mortgage for First-Time Buyers: \$350,000 (up from \$240,000 in 2019)
- Share of Income for Mortgage Payments: Increased from 22% to 26% during peak rates
- Home Price Growth: Expected to be 1-2% in the coming years

Main Insights:

- First-time homebuyers face significant affordability challenges due to high mortgage rates.
- The housing market is experiencing a structural reset, creating higher barriers to entry for new buyers.
- The "lock-in effect" is keeping existing homeowners from selling, contributing to low inventory levels.
- Demographic shifts and climate risk are influencing housing market dynamics and insurance costs.

Market Commentary:

- "We're on the upper bound of affordability pressures. This is about as bad as it's going to get." - Sarah Wolfe, Morgan Stanley
- "The lock-in effect is making it difficult for entry-level buyers to get into the market." - James Egan, Morgan Stanley

TMT Sector Relevance:

- The housing market's tightness and affordability issues may lead to increased demand for technology solutions in real estate, such as digital mortgage platforms and property management software.
- As renters remain in the market longer, there could be heightened interest in smart home technologies and rental management systems, creating opportunities for TMT companies focused on these sectors.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley